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Count(s)	Word(s)	Char(s)	Char(s) (WS)
Section 1	**1721**	**8763**	**10467**
Section 2	**620**	**3372**	**3986**
Section 3	**628**	**3426**	**4049**
Total	**2969**	**15561**	**18502**

Answer-to-Question-_1_

This case combines questions of controlling shareholders' obligations, cleansing, and fairness in the context of a corporation's conversion into an LLC. I conclude that a Chancellor will probably find this transaction cleansed and entitled to business judgement on the basis of ratification by a majority of unaffiliated, informed, uncoerced stockholders, but this analysis turns somewhat on the difficult to resolve questions of whether the CEO is a controller and the extent of board-level conflicts. I proceed to the analysis.

Ultra Vires

First, the plaintiff would not be able to make any claim of ultra vires activity here. Converting a corporation into an LLC is explicitly permitted under DGCL section 266(a), and so the transaction cannot be voided as illegal. (I assume for the purposes of this analysis that the corporation has not waived this ability in its charter). Finding that the conversion was good in law, the Chancellor would next proceed to evaluate the conversion in equity.

Not Unocal or Revlon

The actions here are not concerned with a defensive measure triggering either *Unocal* or *Revlon* duties. There are no defensive measures - poison pills and the like - at play in this case, and so "enhanced scrutiny" under *Unocal* is not available. Nor can the conversion plausibly be termed a sale - this is neither a cash out transaction, not a bust-up of Chirper, nor a stock-for-stock merger which results in a new controller. The conversion plan matches outstanding shares of Chirper, Inc 1 to 1 with membership units of Chirper, LLC, so there is no change of ownership or control. For these reasons, the Chancellor would not move into *Unocal* review. The question would be: is this transaction entitled to the Business Judgement Rule (BJR), OR is it subject to Entire Fairness Review (EFR)?

BJR or Entire Fairness?

To determine whether BJR or EFR applies, the Chancellor would next ask if the majority of the board members approving the conversion plan were conflicted, such that they were incapable of making a decision with only the best interests of the corporation in mind.

Part of this analysis turns on the question of whether CEO is a controlling stockholder. If she is, and the board is under her control such that they are unable to exercise their independent judgement, then entire fairness would be required (absent measures sufficient to cleanse the transaction). Conversely, if she is not a controller and the board is able to act independently, the conversion would be entitled to BJR.

The test to determine whether a stockholder is a controller as laid out in *Tesla 1* begins by asking whether

they own 50% of the equity +1 share, such that they can win any vote. A shareholder who satisfies this condition is defnitionally a controller. CEO does not meet this amount - she owns approximately 32% of outstanding shares. However, a shareholder who (1) holds a large portion of equity and (2) holds a majority of the board "in thrall" can be a controller even if they hold less than 50%. 32% would satisfy the first criterion. We must ask whether CEO holds a majority of the board "in thrall" such that they are dependent upon her and unable to exercise their judgement independently.

Here the analysis gets difficult. *Tesla 1* and *Zuckerberg* allow us to test whether CEO qualifies as a majority stockholder. Board members may be dependent on the controller materially and possibly socially, depending on whether we view *Zuckerberg* as overturning *Oracle*. (I read *Zuckerberg* to be a rejection of *Oracle*'s social entanglement framework - see my answer to Q3 below.) The chancellor would make a fact-intensive inquiry to determine whether each member of the board was independent. The CEO is clearly not independent. VC1 and VC2 may both be dependent on CEO - they are both "trusted advisors" to the CEO, and have been with CEO from the beginning, when the company was VC backed. However, in *Zuckerberg* Peter Thiel, Zuckerberg's friend and mentor, was not found to be conflicted, so they may qualify as independent. Of the board's 7 members, 3 could plausibly be conflicted, if we accept social entanglement as a meaningful conflict. However, the remaining 4 outside directors are all plausibly independent. O1 and possibly other directors are independently wealthy, and so are unlikely to be materially dependent (see Hastings in Zuckerberg). But absent additional facts, it is possible that 1 of these directors might feel personal loyalty to the CEO, such that they would also be unable to use their impartial business judgement. If VC1 and VC2 are also deemed dependent, then a majority of the board would be dependent.

Further, there is a potential for all directors, by being freed from their duty of loyalty, to receive a non-ratable benefit here, although the value of that benefit is unclear given that the facts do not indicate any outstanding claims for breach of fiduciary duties prior to the conversion (see *Riverstone*). For this reason, the chancellor might choose to follow the course in *In re Tesla* and proceed with the analysis as though CEO was a controller and the majority of the board was conflicted.

Assuming the majority of the board was conflicted, we would next want to ask if the conflicted transaction was "cleansed". A conflicted transaction could be cleansed by being supported by a majority of outside, independent directors (of whom there may be 4 in this case) and/or through the support of a majority of informed, uncoerced stockholders (*Corwin; Bancorp*). While the directors unanimously supported the conversion, as noted above we cannot be sure they were independent. However, the chancellor would probably conclude that the conversion was cleansed by the informed vote of a majority of unaffiliated stockholders. The covnersion was conditioned from the beginning on support of a majority of unaffiliated stockholders, and approximately 65% of the unaffiliated shareholders approved it. To my mind, this is probably where the chancellor will stop the analysis. The "real parties in interest - the disinterested equity owners" here made clear their support for waiving directors of their duty of loyalty (*Corwin*). They knew

what they were voting for - the proxy materials made clear what the waiver would mean in general terms and included a copy of the plan of conversion as an appendix, so there can be no claim that shareholders were uncertain of what they had approved (as in, say, *Bancorp*, where shareholders approved executive compensation which allowed for extensive director discretion). I suspect at this point the chancellor would resolve that the transaction was cleansed and subject to BJR.

Entire Fairness Analysis

However, it is conceivable the chancellor might say that the transaction was still unfair. The non-ratable benefit directors receive from release from duty of loyalty would have been achieved here for nothing. It is conceivable that a premium should have been paid by the directors for this release, particularly given that it ultimately allows the CEO to buy the company out in the future. A more cleansed deal might have seen the independent directors negotiating with the CEO for a premium on approving the transaction (as plaintiffs suggested in *Zuckerberg*).

If the chancellor decides the informed, uncoerced approval of the unaffiliated stockholders does not sufficiently cleanse the transaction, he will move to entire fairness review. Here, things look grim for the directors. The conversion seems to have been accomplished for nothing, and so cannot be said to have been done for a "fair price" - as noted above, the CEO (and the other directors) are here freed of their duty of loyalty for nothing. Given that fair price is the paramount consideration in entire fairness, a failure to procure anything for freedom from fiduciary duties is probably enough for the conversion to fail entire fairness.

The second part of EFR, fair dealing, is not clearly evidenced. The board discussed the proposal to convert the corporation to an LLC for "a couple of hours." They did not solicit outside advisors, excepting CEO's "lawyer friend," and the conversion was drawn up by "an in-house lawyer." The proposal to waive fiduciary duties by converting the company to an LLC was entered into quickly and at the urging of the CEO, who was in the room for the discussion. It was not turned over to an independent and sufficiently empowered special committee to consider (*Kahn v M&F*). No directors attempted to squeeze concessions out of the CEO in exchange for this potential boon. The one piece of "fair dealing" was to condition the conversion on a majority vote of the unaffiliated shareholders. The conversion would likely fail entire fairness review, should the chancellor decide that is the appropriate standard.

Conclusion

To recap and conclude, the conversion was approved by a disinterested majority of informed, noncoerced stockholders who were told exactly what they were voting for. These shareholders approved of the conversion having seen it, and this should entitle the conversion to BJR. This would probably be the case even if the controller analysis finds that the CEO does qualify as a controller (Contrast these facts with

Kahn, in which the controller buys out the company - as this is not a buyout, less cleansing may be merited.) It is furthermore not clear that CEO is a controller. Further, while it is not clear from these facts if there were any directors independent of the CEO, it is plausible that the 4 outside directors would qualify, and their unanimous support for the proposal likewise cleanses and helps to push the conversion to BJR (though it would cleanse more if they were an adequately empowered special committee). However, if the chancellor resolves that the CEO is a controller and that additional cleansing measures (such as approval by an independent and adequately empowered special committee of directors) was required in this case, the chancellor may decide that the transaction merits EFR. If this happens, things are likely to be decided for the plaintiff. If they sought injunctive relief, the conversion is likely to be halted by an injunction, because neither the price nor the dealing were entirely fair to the corporation. If conversion has closed and the plaintiff is seeking damages, damages might be awarded from directors personally for the violation of the duty of loyalty by failing to get a fair price for the waiver of fiduciary duties.

----------ANSWER-1-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-2-BELOW----------

Answer-to-Question-_2_

At first glance, both 102(b)(7)'s exculpation from duty of care claims and 122(18)'s allowance for pre-IPO binding stockholder agreements seem to be responses by the Delaware Legislature to unpopular or unexpected results of landmark cases. 102b7 was adopted in the wake of *Smith v Van Gorkom*, where directors of Trans Union were found personally liable for a duty of care violation. This result so outraged corporate directors that the legislature hastily responded by insulating them from future claims. The DE legislature adopted 122(18) in the wake of Firefighters' Pension Fund v Moelis & Co, which ruled that a stockholder agreement imposed by Ken Moelis on his privately held Moelis & Co prior to the IPO, which would have required the board of directors to obtain his written consent for 18 categories of action encompassing virtually the entirey of the board's powers. 122(18) allows pre-IPO companies to adopt the kind of agreements Moelis here sought to impose, which were indeed becoming standard in market practice. Both cases suggest the DE legislature's eagerness to maintain its domination of incorporation, and its willingness to amend the DGCL to overturn unpopular decisions.

However, the provisions point in two different directions when it comes to the DGCL's views on directors' monopoly over corporate governance. 102b7 was adopted specifically to insulate directors from claims on them personally. It sought to protect directors' freedom of action in the exercise of their business

judgement by liberating them from charges of breaches of duty of care. The concern after Van Gorkom was that directors, worried about personal liability in the face of care violations, would become cautious and unwilling to exercise their business judgement without the most painstaking labors. Adopting 102b7 was thus an act of director empowerment, designed to embolden directors to follow their gut and exercise their judgement (in good faith, without fraud or illegality) on behalf of the corporation. It maintained DE's longstanding practice of deferring to directors' business judgement, and helped to further enshrine DGCL 141's demand that directors manage the corporation by preventing them from being second-guessed.

In contrast, 122(18) places limits on director discretion and introduces the possibility of founder control in place of director control. Moelis's original agreement was struck down because the chancellor found that it violated DGCL 141(a) and made Moelis, not the directors, the true manager of the corporation. The DE legislatures's response was to allow future Moelises to limit director discretion through shareholder agreements prior to IPOs, in line with "the irresistible force of market practice" (*Pension v Moelis*) but contrary to a central tenant of DE corporate law. The net effect of 122(18) is to introduce a mechanism by which founders may strip power from directors prior to IPOs, limiting their business judgement and autonomy. However, we should avoid overstating the extent of the change. Even in *Pension v Moelis*, the chancellor noted that the DGCL's default corporate organization in favor of directors could be altered by provisions in the charter of incorporation; Moelis could have been granted a special "golden share" by the charter, entitling him to the same oversight powers he sought through the stockholder agreement. While 122(18) pushes back against director supremacy slightly, it does not introduce entirely novel challenges to the exercise of director discretion which were not already available using existing mechanisms. *Moelis* is a new decision, and perhaps its impact will be greater than I suggest, but we will have to wait and see.

Still, 122(18) seems to suggest something interesting about the DE legislature's willingness to defer to widespread business practices, even if it means chipping away at foundational ideas of what the corporation is - a director run entity for managing shareholder assets - in DE law.

----------ANSWER-2-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-3-BELOW----------

Answer-to-Question-_3_

Tri-State Pension v. Zuckerberg (DE 2021) and *In re Oracle* (DE Ch 2003) are both centrally concerned with the question of what it means for a director to be "independent." The two are in tension with each

other - *Oracle* embraces a holistic theory of human nature and social entanglements which suggests that social entanglements, not just material self-interest, should play a role in determining whether a director is conflicted or independent. *Zuckerberg* meanwhile introduces a 3-part test in which material considerations are front and center, seeming, perhaps, to reject *Oracle*'s social entanglements and return us to dependence calculations focused on cold, hard, cash.

The vice chancellor in *Oracle* rejects a singular focus on materialist conceptions of "dependence" in favor of a more holistic approach which incorporates social, familial, and other kinds of entanglements. The law should not "ignore the social nature of humans" writes VC Strine, nor should it turn "Homo sapiens into homo economicus." Oracle turns on Strine's view that social institutions, norms, and practices can influence directors' ability to make decisions with the best interests of the corporation in mind, seeming to ignore material considerations.

The three part test for director independence introduced in Zuckerberg seems to push in the opposite direction. The Court asks whether the director whose dependence is under review (1) "received a material personal benefit", (2) faces "a substantial likelihood of liability" or (3) "lacks independence from someone" for whom 1 or 2 are true (B&C 278). Material considerations are central here. Indeed, part 2 explicitly does not include duty of care violations because under 102(b)(7) directors are not materially liable for such breaches of fiduciary duty.

It may seem possible to reconcile these two standards. Note that part 3 of the *Zuckerberg* test asks if the director "lacks independence" from someone for whom liability ot material benefits introduce a conflict. This is precisely what occurred in *Oracle* - in that case, the directors whose dependence was suspect were on an SLC to investigate whether *Oracle* should press claims against several other directors. The SLC members were both Stanford professors, and the SLC tasked them with investigating "a fellow processor and two benefactors of the University." The three subjects of investigation all had material interests which made them conflicted - they would all fail prongs 1 and 2 of the *Zuckerberg* test. Yet we might say that the SLC members would have failed prong 3, because "dependence" in the *Zuckerberg* test does not appear to be materially limited. Instead, *Zuckerberg*'s test seems to allow for directors to be dependent for *non-material* reasons, even if it ultimately centers the analysis on material conflicts.

Yet this is not how the court applies the test in *Zuckerberg*. Consider the case of Peter Theil. Plaintiffs in *Zuckerberg* alleged that Theil was not independent of Zuckerberg because, among other reasons, he was "Zuckerberg's close friend and mentor" and "Zuckerberg stood by Thiel in the face of public scandals" causing Thiel to feel "a sense of obligation to Zuckerberg" (B&C 282-3). These certainly seem like meaningful social bonds of the sort which would fail the test laid out in *Oracle*. Consequently, if prong 3 of the *Zuckerberg* test was meant to assimilate *Oracle*'s social/holistic method of evaluating director independence, then Thiel would surely fail. Yet Justice Montgomery-Reeves rejects this argument. Instead, the Court holds that "these allegations can only raise a reasonable doubt about Thiel's independence if

remaining a Facebook director was financially or personally material to Thiel" (B&C, 283). The social relationship which Thiel and Zuckerberg have is here deemed immaterial (pun intended). Rather than being compatible with it, *Zuckerberg* seems to quietly overturn *Oracle*, with its focus on social entanglements, in favor of a materialist conception of independence. It's *Homo economicus* all over again.